



FEDERALISM

Civics - Class 10 | Chapter 2 | Deep Structured NCERT Notes

1. WHAT IS FEDERALISM?

Federalism is a system of government in which the power is divided between a central authority and various constituent units of the country. This is the **exact NCERT definition** and must be memorized word-for-word. In federalism, **power is not concentrated in one place** but is **shared between national and regional governments**.

Federalism is not a new idea. It has been **practised in many countries** around the world for **decades**. The **main advantage of federalism** is that it **accommodates diversity** and **allows regional governments to make decisions based on local needs**.

Usually, a federation has two levels of government

- **Central/Union/National Government:** Governs the entire country and handles matters of national importance
- **State/Regional Government:** Governs individual states or provinces and handles matters of state importance

Both levels of government govern the same citizens, but each level has its own jurisdiction in specific matters. **Neither level can interfere in the other's sphere of authority** without constitutional provision.

Example: In India:

- **Union Government** handles defense, foreign policy, currency, railways, banking
- **State Governments** handle police, agriculture, health, education, local roads
- **Both** govern the same Indian citizens, but in **completely different areas of authority**

Federalism is essential for large countries like India because it **accommodates regional diversity** and **prevents concentration of power**. Without federalism, **one government would have to make all decisions for the entire country**, which is **impractical and inefficient**.

2. FEATURES OF FEDERALISM

Federalism has the following key features. These features are **essential for any country to be considered federal**. If any of these features are missing, the country is **not truly federal**.

Feature 1: Two or More Levels of Government

Federalism has at least two levels of government. There must be a **central (national) government** and **regional (state) governments**. This is the **most basic feature of federalism**.

In India, there are now three levels of government

- **First Tier:** Union/Central Government (national level) - governs the entire country
- **Second Tier:** State Governments (state level) - govern individual states
- **Third Tier:** Local Governments (Panchayats and Municipalities) - govern villages and cities

Each level has its own powers and functions. No single level holds all the power. Power is distributed among all levels.

Example

- **Union Government makes laws on defense** (Union List)
- **State Governments make laws on police** (State List)
- **Local Governments make decisions on local roads, water** (Local List)

This feature ensures that power is not concentrated in one place but is **distributed across multiple levels**.

Feature 2: Different Tiers Govern Same Citizens Independently

Different tiers of government govern the same citizens, but each government has power independent of the other. This means **State governments do not take orders from the central government** and vice versa. **Each level is autonomous in its own sphere.**

Each level is independent in its own jurisdiction

- **Union Government is independent in Union List subjects** - States cannot interfere
- **State Governments are independent in State List subjects** - Union cannot interfere
- **Neither can interfere in the other's jurisdiction** without constitutional amendment

This feature ensures that each level of government has its own authority and **cannot be overridden by other levels**.

Example

- **State government can make laws on police without Union Government's permission**
- **Union Government can make laws on defense without State Government's permission**
- **If State makes law on Union List subject, it is unconstitutional**

- **If Union makes law on State List subject without constitutional provision, it is unconstitutional**

Feature 3: Constitutional Provisions Cannot Be Changed Unilaterally

The fundamental provisions of the constitution regarding federal structure cannot be changed by one level of government.

Power-sharing arrangement is enshrined in the Constitution and requires special procedure to amend.

To change the Constitution regarding federalism

- **Requires approval of both Houses of Parliament** (Lok Sabha and Rajya Sabha)
- **Requires at least two-thirds majority** in both Houses of Parliament
- **Sometimes requires ratification by at least half of the State Assemblies**
- **Cannot be done by Union Government alone**

This ensures that federalism is protected and cannot be destroyed by one level of government. The Constitution is the supreme law and all levels must follow it.

Example

- **Cannot change power-sharing between Centre and States** without Constitutional amendment with special majority
- **Parliament cannot unilaterally take away State powers** - needs State Assembly approval
- **States cannot unilaterally take away Union powers** - needs Parliament approval

This feature protects federalism and prevents any one level from becoming too powerful.

Feature 4: Judiciary Resolves Disputes

The judiciary screens the implementation of constitutional provisions and procedures. The **Supreme Court and High Courts** have the power to **resolve disputes between Centre and States**.

Judiciary has the following powers in federalism

- **Interpret the Constitution** - decide what the Constitution means
- **Resolve disputes between Centre and States** - decide who has the right
- **Declare laws unconstitutional** if they violate federal structure
- **Protect the powers of each level** - ensure no level trespasses on another's jurisdiction

This feature ensures that disputes are resolved peacefully through **legal process** and not through **violence or conflict**.

Example

- **If Union Government trespasses on State powers**, States can go to Supreme Court
- **If State Government makes law on Union List**, Union can go to Supreme Court
- **Supreme Court decides who is right** based on Constitution
- **Court's decision is final** and binding on both levels

Feature 5: Financial Autonomy

Sources of revenue for each level of government are clearly specified to ensure its financial autonomy. Each level knows **what taxes it can collect** and **how much money it will get** from other levels.

In India, revenue sources are divided as follows

- ****Union Government - Revenue Sources****: Income tax, corporate tax, customs duty, GST (central share), service tax

- ****State Governments - Revenue Sources****: Sales tax/VAT, stamp duty, land revenue, GST (state share), excise duty on alcohol
- ****Local Governments - Revenue Sources****: Property tax, water tax, professional tax, octroi, toll tax

Each level has its own revenue sources to ensure **financial independence**. This prevents **one level from being financially dependent on another**.

Example

- **Union Government collects income tax** from entire country
- **State Governments collect sales tax** within their state
- **Local Governments collect property tax** from property owners in their area
- **Each level has its own money to spend** on its subjects

3. KINDS OF FEDERATIONS

There are two main kinds of federations in the world. These are classified based on **how the federation was formed**. Understanding this difference is **important for exams**.

Type 1: Coming Together Federations

Coming together federations are formed when independent states come together on their own to form a bigger unit. The **States voluntarily join** the federation because they **want to be part of a larger unit** for mutual benefit.

Examples of Coming Together Federations

- **USA**: 13 independent colonies came together to form USA in 1776
- **Australia**: Independent colonies came together to form Australia in 1901
- **Switzerland**: Independent cantons came together to form Switzerland in 1848

Characteristics of Coming Together Federations

- ****Formation - Description****: Independent states voluntarily join together
- ****Purpose - Description****: Defense, economic cooperation, mutual benefit
- ****State Power - Description: All states have equal power**** (no discrimination)
- ****Centre Power - Description: Centre is weaker**** compared to States
- ****State Autonomy - Description: Strong emphasis**** on State autonomy
- ****Special Status - Description: No special status**** for any state
- ****Veto Power - Description: States often have veto power**** over constitutional amendments

Why Centre is weaker in Coming Together Federations

- **States came together voluntarily** - they can leave if they want
- **States want to protect their independence** - give less power to Centre
- **States are equal** - no state is more powerful than another

Example from USA

- **All 50 states have equal power** in Congress
- **No state has special status**
- **Centre is weaker** - cannot easily take away State powers
- **States have veto power** over constitutional amendments

Type 2: Holding Together Federations

Holding together federations are formed when a large country decides to divide its power between the constituent states and the national government. The central government divides power to keep the country united and accommodate diversity.

Examples of Holding Together Federations

- **India**: Large country divided power between Centre and States in 1950

- **Spain:** Divided power between central government and autonomous communities
- **Belgium:** Divided power between federal government and regional governments

Characteristics of Holding Together Federations

- ****Formation - Description**:** Large country divides power to stay united
- ****Purpose - Description**:** Accommodate diversity, maintain national unity
- ****State Power - Description:** Not all states have equal power** (some have special status)
- ****Centre Power - Description: Centre is stronger**** compared to States
- ****State Autonomy - Description:** Less emphasis** on State autonomy
- ****Special Status - Description: Some states may have special status****
- ****Veto Power - Description: States usually do not have veto power****

Why Centre is stronger in Holding Together Federations

- **Country was already united** before forming federation
- **Centre divides power** to keep country together
- **Centre needs to be strong** to maintain unity
- **Some states may need special treatment** due to diversity

Example from India

- **Jammu & Kashmir had special status** under Article 370 (now removed in 2019)
- **Northeast states have special provisions** under Article 371
- **Centre is stronger** - can reorganize states, impose President's Rule
- **Not all states have equal power** - some have special status

Difference Between Coming Together and Holding Together Federations

- ****Formation - Coming Together Federation: Independent states come together voluntarily; Holding Together Federation**:** Large country divides power to stay united
- ****Examples - Coming Together Federation: USA, Australia, Switzerland; Holding Together Federation**:** India, Spain, Belgium
- ****State Power - Coming Together Federation: All states have equal power; Holding Together Federation: Not all states have equal power****
- ****Centre Power - Coming Together Federation: Centre is weaker; Holding Together Federation: Centre is stronger****
- ****Purpose - Coming Together Federation: Defense, economic cooperation; Holding Together Federation**:** Accommodate diversity, maintain unity
- ****State Autonomy - Coming Together Federation: Strong emphasis on State autonomy; Holding Together Federation: Less emphasis**** on State autonomy
- ****Special Status - Coming Together Federation: No special status for any state; Holding Together Federation: Some states may have special status****
- ****Veto Power - Coming Together Federation: States often have veto power; Holding Together Federation: States usually do not have veto power****
- ****State Creation - Coming Together Federation: States create federation; Holding Together Federation**:** Federation creates states

India is a holding together federation - large country divided power between Centre and States to **accommodate diversity and maintain national unity**. This is **important for exam questions**.

4. WHAT MAKES INDIA A FEDERAL COUNTRY?

4.1 Constitutional Provisions

The Constitution originally provided for a two-tier system of government. When India became independent in 1947 and Constitution came into force in 1950:

- **Central Government** representing the **Union of India** (national level)
- **State Governments** representing **individual states** (state level)

This was a two-tier federal system - only Centre and States.

Later, the third tier of federalism was added in the form of Panchayats and Municipalities. This was done through **73rd and 74th Constitutional Amendment Acts in 1992.**

Now India has three tiers of government

- **Union/Central Government** (national level) - governs entire country
- **State Governments** (state level) - govern individual states
- **Local Governments** (Panchayats and Municipalities) - govern villages and cities

The third tier makes India more federal by decentralizing power further to the grassroots level.

4.2 Three Lists - Division of Powers

The Constitution divides powers between the Union Government and the State Governments within three lists. These lists are **Part XI of the Constitution** and **the Seventh Schedule.**

The three lists are

- **Union List** - subjects under Union Government
- **State List** - subjects under State Governments

- **Concurrent List** - subjects under both Union and State Governments

This division of powers is the backbone of Indian federalism.

List 1: Union List (100 Subjects)

Union List includes subjects of national importance where uniformity of legislation is necessary. Only the **Union Government** can make laws on these subjects. **States cannot make laws on Union List subjects.**

Union List contains 100 subjects (originally 97 in 1950):

- ****Defense - Examples: Army, Navy, Air Force, weapons, war; Why Union List?**: National security, affects entire country**
- ****Foreign Affairs - Examples: Relations with other countries, UN, ambassadors; Why Union List?**: International relations, affects entire country**
- ****Banking - Examples: Reserve Bank of India, currency, coins, notes; Why Union List?**: National economy, needs uniform policy**
- ****Communications - Examples: Post office, telegraph, telephone, railways, airlines; Why Union List?**: National connectivity, needs uniformity**
- ****Atomic Energy - Examples: Nuclear power, radioactive materials; Why Union List?**: National security, dangerous if misused**
- ****Mining - Examples: Minerals, oil resources, natural gas; Why Union List?**: National resources, needs uniform policy**
- ****Customs Duty - Examples: Tax on imports/exports; Why Union List?**: International trade, affects entire country**
- ****Income Tax - Examples: Tax on income (central); Why Union List?**: National economy, needs uniform policy**
- ****Corporation Tax - Examples: Tax on company profits; Why Union List?**: National economy, needs uniform policy**
- ****Foreign Loans - Examples: Loans from other countries; Why Union List?**: International relations, national debt**

Why these subjects are in Union List

- **National importance** - affects entire country uniformly

- **Need uniform policy** across all states
- **Cannot be handled by individual states** alone
- **Requires coordination** at national level

Example

- **Only Union Government can make laws on defense** - States cannot have their own army
- **Only Union Government can make laws on currency** - States cannot print their own money
- **Only Union Government can make laws on foreign affairs** - States cannot make treaties with other countries

List 2: State List (61 Subjects)

State List contains subjects of state and local importance. Only the **State Governments can make laws** on these subjects. **Union Government cannot make laws on State List subjects** (except under special circumstances).

State List contains 61 subjects (originally 66 in 1950):

- ****Police - Examples: Law and order, prisons, police force; Why State List?**: State-level issue, local needs**
- ****Agriculture - Examples: Farming, irrigation, land revenue, farmers; Why State List?**: State-level issue, varies by state**
- ****Health - Examples: Hospitals, medical care, public health, doctors; Why State List?**: State-level issue, local needs**
- ****Education - Examples: Schools, colleges (except central universities); Why State List?**: State-level issue, varies by state**
- ****Trade and Commerce - Examples: Shops, markets, trade within state, businesses; Why State List?**: State-level issue, local economy**
- ****Public Works - Examples: Roads, buildings, bridges (state roads); Why State List?**: State-level issue, local infrastructure**
- ****Land - Examples: Land ownership, land reforms, land revenue; Why State List?**: State-level issue, varies by state**

- ****Local Government - Examples: Panchayats, municipalities, urban local bodies; Why State List?**: Local issue, best handled locally**
- ****Public Order - Examples: Maintaining peace, riot control; Why State List?**: State-level issue, local needs**
- ****Alcohol - Examples: Excise duty on alcohol, prohibition; Why State List?**: State-level issue, varies by state**

Why these subjects are in State List

- **State/local importance** - affects only that particular state
- **States know local needs better** than Centre
- **Can be handled by state governments** effectively
- **Varies from state to state** - different needs in different states

Example

- **State government can make laws on police** without Union Government's permission
- **State government can make laws on agriculture** without Union Government's permission
- **State government can make laws on health** without Union Government's permission
- **Union Government cannot interfere** in these subjects normally

List 3: Concurrent List (52 Subjects)

Concurrent List includes subjects of common interest to both the Union Government as well as the State Governments. Both Union and State Governments can make laws on these subjects. However, if there is a conflict, Union law prevails.

Concurrent List contains 52 subjects (originally 47 in 1950):

- ****Education - Examples: Schools, colleges, universities, technical education; Why Concurrent List?**: Both Centre and States interested**
- ****Forest - Examples: Forest conservation, wildlife protection; Why Concurrent List?**: Both Centre and States interested**

- ****Trade Unions - Examples: Labor unions, workers' rights; Why Concurrent List?**: Both Centre and States interested**
- ****Electricity - Examples: Power generation, distribution, electricity board; Why Concurrent List?**: Both Centre and States interested**
- ****Press and Media - Examples: Newspapers, books, publications; Why Concurrent List?**: Both Centre and States interested**
- ****Marriage and Divorce - Examples: Marriage laws, divorce laws; Why Concurrent List?**: Both Centre and States interested**
- ****Adoption and Succession - Examples: Inheritance, wills, succession; Why Concurrent List?**: Both Centre and States interested**
- ****Bankruptcy and Insolvency - Examples: Bankruptcy laws, debt recovery; Why Concurrent List?**: Both Centre and States interested**
- ****Roads - Examples: National highways, state highways, major roads; Why Concurrent List?**: Both Centre and States interested**
- ****Criminal Law - Examples: Penal code, criminal procedure; Why Concurrent List?**: Both Centre and States interested**

Why these subjects are in Concurrent List

- **Common interest** - both Centre and States are interested
- **Need coordination** between Centre and States
- **Can be handled by both levels**
- **Requires uniformity** but also **local adaptation**

Rule for Concurrent List

- **Both Union and State can make laws** on Concurrent List subjects
- **If State law conflicts with Union law, Union law prevails**
- **State law is valid only if Union law does not exist** or State law gets **President's approval**

Example

- **Both Union and State can make laws on education**
- **If Union makes law on education and State makes conflicting law, Union law prevails**

- **If State makes law on education and Union later makes law,**
Union law overrides State law

4.3 Special Provisions in Constitution

The Constitution has special provisions that make India quasi-federal (partly federal, partly unitary). These provisions give **more power to the Centre** than in a pure federation.

Special Provisions that make India Quasi-Federal

- ****Single Constitution - Description: All states follow same Constitution as Centre; Effect**:** Centre is stronger
- ****Single Citizenship - Description: All Indians are citizens of India, not of states; Effect**:** Centre is stronger
- ****Emergency Provisions - Description: Centre can impose President's Rule in states; Effect**:** Centre can take over State government
- ****Article 356 - Description: President's Rule in states if constitutional machinery fails; Effect**:** Centre can dismiss State government
- ****Article 352 - Description: National Emergency; Effect**:** Centre becomes very powerful
- ****Article 360 - Description: Financial Emergency; Effect**:** Centre controls State finances
- ****Reorganization of States - Description: Parliament can create, merge, or alter states; Effect**:** Centre creates states, not vice versa
- ****Governor - Description: Governor appointed by Centre for each state; Effect**:** Centre has influence in states
- ****All India Services - Description: IAS, IPS officers serve both Centre and States; Effect**:** Centre controls bureaucracy
- ****Integrated Judiciary - Description: Single judicial system (Supreme Court -> High Courts -> District Courts); Effect**:** Centre controls judiciary
- ****Unequal Representation - Description: States have unequal representation in Rajya Sabha based on population; Effect**:** Larger

states have more power

- ****Finance Commission - Description: Centre decides how to distribute money to States; Effect**:** Centre controls finances

These provisions make India more unitary than federal in certain situations. **India is often called quasi-federal** because it has **both federal and unitary features**.

Example

- **If President's Rule is imposed in a state**, Centre takes over State government
- **State government is dismissed** and Centre governs directly
- **This is unitary feature** - Centre becomes all-powerful

5. HOW IS FEDERALISM PRACTISED IN INDIA?

5.1 Linguistic States

One of the most important ways federalism is practised in India is through the creation of linguistic states. After independence, **states were reorganized based on language** to accommodate linguistic diversity.

Before 1956

- **States were created based on administrative convenience**
- **Language was not considered**
- **Many states had multiple languages**
- **People felt discriminated** because their language was not recognized

After 1956

- **States were reorganized based on language**
- **Kerala formed for Malayalam speakers (1956)**

- **Andhra Pradesh formed for Telugu speakers** (1953, first linguistic state)
- **Gujarat for Gujarati speakers** (1960)
- **Maharashtra for Marathi speakers** (1960)
- **Tamil Nadu for Tamil speakers** (1956, originally Madras State)

The States Reorganization Act of 1956 was the **key legislation** that reorganized states based on language.

Why Linguistic States Were Created

- ****Easier Administration - Explanation****: People can communicate in their own language with government
- ****Cultural Preservation - Explanation****: Language and culture are preserved
- ****Reduced Conflict - Explanation****: People feel included, less likely to rebel
- ****Better Governance - Explanation****: Government can communicate effectively with people
- ****National Unity - Explanation****: Accommodating diversity strengthens unity

Impact of Linguistic States

- ****Administration - Before 1956: Difficult (multiple languages); After 1956****: Easier (one language per state)
- ****Conflict - Before 1956: High (language disputes); After 1956****: Low (language recognized)
- ****Unity - Before 1956: Weak (people felt excluded); After 1956****: Strong (people feel included)
- ****Governance - Before 1956: Poor (communication barrier); After 1956****: Better (communication in local language)

Linguistic states strengthened federalism in India by **accommodating linguistic diversity** and **reducing conflict**. This is a **successful example of Indian federalism**.

5.2 Language Policy

India's language policy is another important aspect of federalism. The Constitution recognizes 22 languages in the Eighth Schedule.

Constitutional Provisions on Language

- ****Hindi - Description****: Official language of Union Government (in Devanagari script)
- ****English - Description****: Additional official language (for official purposes)
- ****22 Scheduled Languages - Description****: Recognized in Eighth Schedule (Hindi, Bengali, Telugu, Marathi, Tamil, Urdu, Gujarati, Malayalam, Kannada, Odia, Punjabi, Assamese, etc.)
- ****State Official Languages - Description****: Each state can have its own official language
- ****No National Language - Description: India has no national language**** (only official languages)

Why English Continued

- **After independence, there was demand to make Hindi only official language**
- **Non-Hindi speaking states opposed this** (Tamil Nadu, Kerala, etc.)
- **Anti-Hindi agitations in Tamil Nadu** (1960s)
- **Government decided to continue English** as additional official language
- **This accommodated non-Hindi speaking states**

Current Language Policy

- **Hindi** is official language of Union Government
- **English** is additional official language
- **States can have their own official languages**
- **All 22 scheduled languages are protected**
- **No discrimination based on language**

Language policy strengthens federalism by **accommodating linguistic diversity** and **preventing discrimination**.

5.3 Centre-State Relations

Centre-State relations are crucial for federalism in India. The **Constitution clearly defines the powers** of Centre and States, but **there have been tensions** over the years.

Types of Centre-State Relations

- ****Legislative Relations - Description: Who can make laws on what subjects; Example**:** Union List, State List, Concurrent List
- ****Administrative Relations - Description: Who administers what; Example**:** Union administers Union subjects, States administer State subjects
- ****Financial Relations - Description: Who collects what taxes and how money is distributed; Example**:** Union collects income tax, States collect sales tax, Finance Commission distributes money

Tensions in Centre-State Relations

- ****President's Rule - Description: Centre dismisses State government (Article 356); Resolution**:** Supreme Court ruled it can't be used arbitrarily (S.R. Bommai case, 1994)
- ****Governor's Role - Description: Governor appointed by Centre; Resolution**:** Governors should be impartial, not act as Centre's agent
- ****Finance - Description: Centre controls money, States dependent; Resolution**:** Finance Commission decides distribution every 5 years
- ****Inter-State Disputes - Description: Water disputes, boundary disputes; Resolution**:** Inter-State Council resolves disputes
- ****New States - Description: Centre creates states; Resolution**:** Parliament can create new states (e.g., Telangana in 2014)

S.R. Bommai Case (1994) is important for exams

- **Supreme Court ruled that President's Rule cannot be used arbitrarily**
- **Centre must prove State government cannot function**

- **State government can't be dismissed just because Centre has different party**
- **This strengthened federalism by protecting State governments**

6. DECENTRALISATION IN INDIA

6.1 Why Decentralisation?

Decentralisation is the process of transferring power from central and state governments to local governments. This is the **third tier of federalism** in India.

Decentralisation is necessary for several reasons

- ****Local Issues Need Local Solutions - Explanation****: Local people know their problems better than Centre or State
- ****Participation - Explanation****: People can participate directly in decision-making at local level
- ****Accountability - Explanation****: Local representatives are more accountable to people
- ****Efficiency - Explanation****: Local governments can solve problems faster
- ****Democracy - Explanation****: Deepens democracy by bringing government closer to people
- ****Development - Explanation****: Local development is better planned and implemented

Before Decentralisation

- **Power was concentrated at Centre and State levels**
- **Local problems were ignored**
- **People had no say in local matters**
- **Development was slow and inefficient**

After Decentralisation

- **Power is distributed to local governments**

- **Local problems are addressed**
- **People participate in decision-making**
- **Development is faster and more effective**

6.2 Decentralisation After 1992

Decentralisation in India was significantly strengthened in 1992 through Constitutional Amendments.

73rd Constitutional Amendment Act (1992)

- **Added Panchayati Raj institutions** (rural local government)
- **Made decentralisation mandatory** (not optional)
- **Provided constitutional status to Panchayats**
- **Reservations for SC/ST, women, and backward classes**

74th Constitutional Amendment Act (1992)

- **Added Municipalities** (urban local government)
- **Made decentralisation mandatory** for urban areas
- **Provided constitutional status to Municipalities**
- **Reservations for SC/ST, women, and backward classes**

These amendments made decentralisation a constitutional right and not just a policy choice.

7. RURAL LOCAL GOVERNMENT (PANCHAYATI RAJ)

Panchayati Raj is the system of rural local government in India. It has three levels

7.1 Gram Panchayat (Village Level)

Gram Panchayat is the basic unit of Panchayati Raj at village level. It is elected by villagers and governs one or more villages.

Features of Gram Panchayat

- **Area - Description**: One or more villages
- **Members - Description**: Panchas (elected representatives) - called Ward Members
- **Head - Description**: Sarpanch (elected by villagers)
- **Term - Description**: 5 years
- **Election - Description**: Direct election by villagers
- **Reservation - Description**: SC/ST, women (at least 33%, now 50% in many states), backward classes
- **Functions - Description**: Water supply, roads, street lights, sanitation, local markets, primary schools, health centers
- **Office - Description**: Gram Panchayat Bhavan (village office)

How Gram Panchayat Works

- **Villagers elect Panchas** for each ward (small area of village)
- **Panchas elect Sarpanch** (or Sarpanch is directly elected by villagers)
- **Sarpanch is the head** of Gram Panchayat
- **Gram Panchayat meets regularly** to discuss local issues
- **Decisions are taken collectively** by all Panchas

Example

- **Gram Panchayat builds village roads**
- **Gram Panchayat provides clean drinking water**
- **Gram Panchayat maintains street lights**
- **Gram Panchayat runs primary health center**

7.2 Panchayat Samiti (Block Level)

Panchayat Samiti is the intermediate level of Panchayati Raj at block level. It is also called Block Panchayat or Mandal Panchayat.

Features of Panchayat Samiti

- ****Area - Description****: One block (collection of villages)
- ****Members - Description****: Elected representatives from Gram Panchayats in block + MLAs + MPs from area
- ****Head - Description****: Chairman (elected)
- ****Term - Description****: 5 years
- ****Election - Description****: Indirect election (by Gram Panchayat members)
- ****Reservation - Description****: SC/ST, women, backward classes
- ****Functions - Description****: Coordinate development work of all Gram Panchayats in block, agriculture, irrigation, rural development schemes

How Panchayat Samiti Works

- **Gram Panchayat members elect representatives to Panchayat Samiti**
- **Panchayat Samiti coordinates work of all Gram Panchayats in block**
- **Implements state government schemes** at block level
- **Allocates funds to Gram Panchayats**

7.3 Zilla Parishad (District Level)

Zilla Parishad is the highest level of Panchayati Raj at district level. It is also called District Council.

Features of Zilla Parishad

How Zilla Parishad Works

- **Panchayat Samiti members elect representatives to Zilla Parishad**
- **Zilla Parishad coordinates work of all Panchayat Samitis in district**
- **Implements state and central government schemes** at district level

- **Allocates funds to Panchayat Samitis**
- **Oversees development work** across the entire district

Example

- **Zilla Parishad builds district roads** connecting villages
- **Zilla Parishad manages district hospitals**
- **Zilla Parishad implements MGNREGA scheme** at district level
- **Zilla Parishad coordinates agriculture development** across district

Three-Tier Structure of Panchayati Raj

- ****Village - Name: Gram Panchayat; Area: One or more villages; Head: Sarpanch; Election: Direct (by villagers); Functions**:** Water, roads, street lights, sanitation, primary schools
- ****Block - Name: Panchayat Samiti; Area: One block (collection of villages); Head: Chairman; Election: Indirect (by Gram Panchayat members); Functions**:** Coordinate Gram Panchayats, agriculture, irrigation, rural schemes
- ****District - Name: Zilla Parishad; Area: Entire district; Head: Chairman; Election: Indirect (by Panchayat Samiti members); Functions**:** Coordinate Panchayat Samitis, district roads, hospitals, major schemes

This three-tier structure ensures decentralization from district to block to village level. Power flows from top to bottom and local people participate at village level.

Key Features of Panchayati Raj (Important for Exams)

- ****Constitutional Status - Description**:** 73rd Amendment Act 1992 gave constitutional status to Panchayats
- ****Regular Elections - Description**:** Elections must be held every 5 years (mandatory)
- ****Reservation for SC/ST - Description**:** Seats reserved in proportion to their population

- ****Reservation for Women - Description****: At least 33% seats reserved for women (many states now 50%)
- ****Reservation for Backward Classes - Description****: Seats reserved for OBC and other backward classes
- ****State Election Commission - Description****: Independent body conducts Panchayat elections
- ****State Finance Commission - Description****: Reviews financial position of Panchayats every 5 years
- ****Gram Sabha - Description****: All registered voters in village are members of Gram Sabha
- ****Gram Sabha Powers - Description****: Approves budget, identifies beneficiaries, monitors work
- ****Fund, Function, Functionaries - Description****: Panchayats have funds, functions, and functionaries (3 Fs)

Gram Sabha is very important

- **All registered voters in village are members of Gram Sabha**
- **Gram Sabha is the general assembly of all villagers**
- **Gram Sabha meets at least twice a year**
- **Gram Sabha approves Panchayat budget**
- **Gram Sabha identifies beneficiaries** for schemes
- **Gram Sabha monitors Panchayat work**
- **Gram Sabha is the foundation of Panchayati Raj**

8. URBAN LOCAL GOVERNMENT

Urban local government is for cities and towns. It has two types based on size of urban area

8.1 Municipalities (Small Urban Areas)

Municipalities are for smaller urban areas (smaller cities and towns).

Features of Municipalities

- ****Area - Description****: Smaller cities and towns (population less than 1 lakh usually)
- ****Members - Description****: Elected representatives called Councillors
- ****Head - Description****: Municipal Chairman (elected)
- ****Term - Description****: 5 years
- ****Election - Description****: Direct election by urban residents
- ****Reservation - Description****: SC/ST, women (at least 33%), backward classes
- ****Functions - Description****: Water supply, sanitation, street lights, roads, garbage collection, birth/death registration, primary health centers, primary schools
- ****Office - Description****: Municipality Office

Examples of Municipalities

- **Town Municipalities** in smaller towns
- **Nagar Panchayats** for transitioning areas (rural to urban)

8.2 Municipal Corporations (Large Urban Areas)

Municipal Corporations are for larger urban areas (big cities).

Features of Municipal Corporations

- ****Area - Description****: Larger cities (population more than 1 lakh usually)
- ****Members - Description****: Elected representatives called Corporators
- ****Head - Description****: Mayor (elected by Corporators)
- ****Deputy Head - Description****: Deputy Mayor
- ****Executive Officer - Description****: Municipal Commissioner (appointed by State Government)
- ****Term - Description****: 5 years
- ****Election - Description****: Direct election by urban residents
- ****Reservation - Description****: SC/ST, women (at least 33%), backward classes

- ****Functions - Description****: Water supply, sanitation, street lights, roads, garbage collection, birth/death registration, hospitals, schools, property tax collection, building regulation, slum improvement, fire services
- ****Office - Description****: Municipal Corporation Office (City Hall)

Examples of Municipal Corporations

- **Mumbai Municipal Corporation** (largest in India)
- **Delhi Municipal Corporation** (now split into North, South, East Delhi)
- **Chennai Municipal Corporation**
- **Kolkata Municipal Corporation**
- **Bangalore Municipal Corporation (BBMP)**

Difference Between Municipalities and Municipal Corporations

- ****Area Size - Municipalities: Smaller cities and towns; Municipal Corporations****: Larger cities
- ****Population - Municipalities: Usually less than 1 lakh; Municipal Corporations****: Usually more than 1 lakh
- ****Head - Municipalities: Municipal Chairman; Municipal Corporations****: Mayor
- ****Members - Municipalities: Councillors; Municipal Corporations****: Corporators
- ****Functions - Municipalities: Basic services (water, sanitation, roads, garbage); Municipal Corporations****: All basic services + hospitals, schools, fire services, property tax
- ****Complexity - Municipalities: Simpler structure; Municipal Corporations****: More complex structure
- ****Examples - Municipalities: Town Municipalities, Nagar Panchayats; Municipal Corporations****: Mumbai, Delhi, Chennai, Kolkata, Bangalore Corporations

8.3 Key Features of Urban Local Government (Important for Exams)

- ****Constitutional Status - Description****: 74th Amendment Act 1992 gave constitutional status to Municipalities
- ****Regular Elections - Description****: Elections must be held every 5 years (mandatory)
- ****Reservation for SC/ST - Description****: Seats reserved in proportion to their population
- ****Reservation for Women - Description****: At least 33% seats reserved for women (many states now 50%)
- ****Reservation for Backward Classes - Description****: Seats reserved for OBC and other backward classes
- ****State Election Commission - Description****: Independent body conducts Municipality elections
- ****State Finance Commission - Description****: Reviews financial position of Municipalities every 5 years
- ****Ward Committees - Description****: For cities with population more than 3 lakh, Ward Committees are mandatory
- ****Fund, Function, Functionaries - Description****: Municipalities have funds, functions, and functionaries (3 Fs)
- ****Urban Local Bodies - Description****: Municipal Corporations, Municipalities, Nagar Panchayats

9. ACHIEVEMENTS AND CHALLENGES OF DECENTRALISATION

9.1 Achievements of Decentralisation

Decentralisation has achieved several important things in India

- ****Strengthened Democracy - Description****: Brought government closer to people, increased participation

- ****Empowered Local People - Description****: People can now decide on local issues
- ****Women Empowerment - Description****: 50% reservation for women in many states (over 10 lakh women elected)
- ****SC/ST Empowerment - Description****: Seats reserved proportional to population, empowered marginalized communities
- ****Development - Description****: Local development planning is more effective
- ****Accountability - Description****: Local representatives are more accountable to people
- ****Reduced Corruption - Description****: Local monitoring reduces corruption in implementation
- ****Social Justice - Description****: Backward classes got representation in local governance

Over 10 lakh elected representatives in Panchayats and Municipalities, **with women comprising about 43-50%** in many states. **This is the largest experiment in democracy in the world.**

9.2 Challenges of Decentralisation

Despite achievements, decentralisation faces several challenges

- ****Irregular Elections - Description****: Some states delay Panchayat elections (though 73rd Amendment mandates every 5 years)
- ****Lack of Funds - Description****: Local governments don't have enough money to implement schemes
- ****Lack of Functions - Description****: State governments don't transfer functions to local governments
- ****Lack of Functionaries - Description****: Not enough staff (employees) for local governments
- ****Reservation Implementation - Description****: Some seats reserved but not filled properly
- ****Gram Sabha Inactivity - Description****: Gram Sabhas don't meet regularly in many places

- ****Political Interference - Description****: State politicians interfere in local government work
- ****Bureaucratic Control - Description****: Bureaucrats control local governments instead of elected representatives
- ****Awareness - Description****: People don't know their rights and duties in local government
- ****Education - Description****: Elected representatives lack training and education to govern effectively

The 3 Fs Problem

- **Fund** - Local governments don't have enough money
- **Function** - Local governments don't have enough functions (powers)
- **Functionaries** - Local governments don't have enough staff

These challenges need to be addressed to strengthen decentralisation further.

10. NCERT KEY CONCEPTS AND DEFINITIONS

- ****Federalism - Exact NCERT Definition****: System of government in which power is divided between a central authority and various constituent units of the country
- ****Coming Together Federation - Exact NCERT Definition****: Federation formed when independent states come together voluntarily (USA, Australia, Switzerland)
- ****Holding Together Federation - Exact NCERT Definition****: Federation formed when large country divides power to stay united (India, Spain, Belgium)
- ****Union List - Exact NCERT Definition****: 100 subjects of national importance where only Union Government can make laws
- ****State List - Exact NCERT Definition****: 61 subjects of state importance where only State Governments can make laws
- ****Concurrent List - Exact NCERT Definition****: 52 subjects of common interest where both Union and State Governments can make laws

- ****Quasi-Federal - Exact NCERT Definition****: India is partly federal and partly unitary (has features of both)
- ****Decentralisation - Exact NCERT Definition****: Transfer of power from central and state governments to local governments
- ****Panchayati Raj - Exact NCERT Definition****: System of rural local government in India (3-tier: Gram Panchayat, Panchayat Samiti, Zilla Parishad)
- ****Gram Sabha - Exact NCERT Definition****: All registered voters in a village are members of Gram Sabha
- ****73rd Amendment - Exact NCERT Definition****: 1992 Constitutional Amendment that gave constitutional status to Panchayats
- ****74th Amendment - Exact NCERT Definition****: 1992 Constitutional Amendment that gave constitutional status to Municipalities
- ****Municipality - Exact NCERT Definition****: Urban local government for smaller cities and towns
- ****Municipal Corporation - Exact NCERT Definition****: Urban local government for larger cities

11. IMPORTANT CASE LAWS AND COMBINATIONS

S.R. Bommai v. Union of India (1994)

This is the most important case for federalism in India

- ****Issue - Details****: Whether Centre can arbitrarily dismiss State government under Article 356 (President's Rule)
- ****Supreme Court Ruling - Details: President's Rule cannot be used arbitrarily****
- ****Key Points - Details****: - Centre must prove State government cannot function- State government can't be dismissed just because Centre has different party- Floor test in Assembly is the only way to prove majority- Court can revive State government if President's Rule is unconstitutional
- ****Impact - Details: Strengthened federalism**** by protecting State governments from arbitrary dismissal

Important Combinations for Exams

- ****Federalism Features - Key Points to Remember****: 2+ levels, same citizens, independent, Constitution can't be changed unilaterally, judiciary resolves disputes, financial autonomy
- ****Three Lists - Key Points to Remember****: Union (100 subjects), State (61 subjects), Concurrent (52 subjects)
- ****Coming Together - Key Points to Remember****: USA, Australia, Switzerland - equal power, weaker Centre
- ****Holding Together - Key Points to Remember****: India, Spain, Belgium - unequal power, stronger Centre
- ****Panchayati Raj - Key Points to Remember****: 3 tiers: Gram Panchayat (village), Panchayat Samiti (block), Zilla Parishad (district)
- ****Urban Local Bodies - Key Points to Remember****: Municipality (small cities), Municipal Corporation (big cities)
- ****73rd Amendment - Key Points to Remember****: Rural local government (Panchayats), 1992
- ****74th Amendment - Key Points to Remember****: Urban local government (Municipalities), 1992
- ****Reservation - Key Points to Remember****: SC/ST proportional, Women 33% (now 50% in many states), OBC
- ****Gram Sabha - Key Points to Remember****: All voters in village, approves budget, identifies beneficiaries